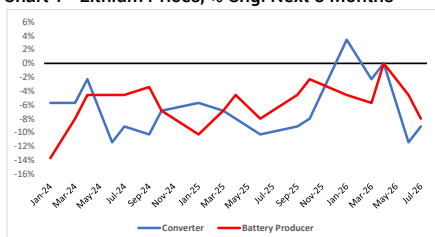


Lithium Value Chain Survey: Momentum Soft, Outlook Deteriorates

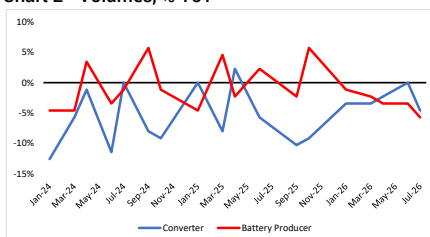
Our survey of lithium converters (98% of sales in China) and battery materials producers (61%) suggests a weaker Q3, especially for producers. Pricing is expected to decline HSD in Q3, new orders for battery producers have decelerated sharply even as converter backlogs contracted. Both converters and battery producers inventory momentum YoY is ahead of volumes, which has only happened twice in the past 3 years.

Chart 1 - Lithium Prices, % Chg. Next 3 Months



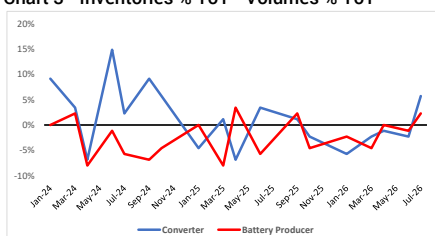
Source: Jefferies Proprietary Survey

Chart 2 - Volumes, % YoY



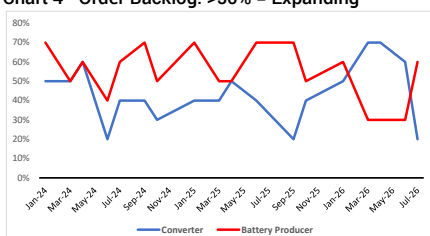
Source: Jefferies Proprietary Survey

Chart 3 - Inventories % YoY - Volumes % YoY



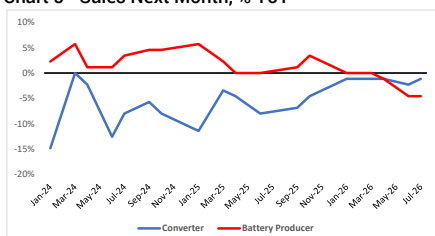
Source: Jefferies Proprietary Survey

Chart 4 - Order Backlog: >50% = Expanding



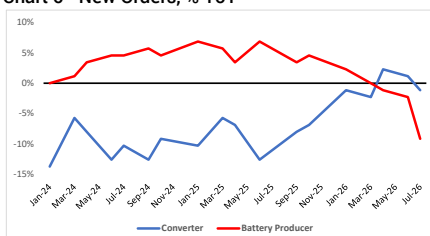
Source: Jefferies Proprietary Survey

Chart 5 - Sales Next Month, % YoY



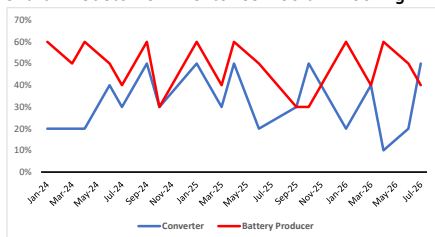
Source: Jefferies Proprietary Survey

Chart 6 - New Orders, % YoY



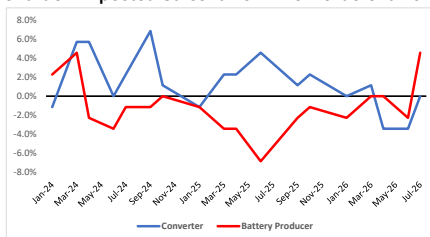
Source: Jefferies Proprietary Survey

Chart 7 - Customer Inventories: >50% = "Too High"



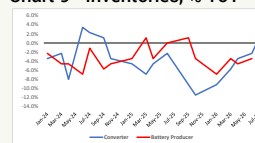
Source: Jefferies Proprietary Survey

Chart 8 - Expected Sales % YoY - New Orders % YoY



Source: Jefferies Proprietary Survey

Chart 9 - Inventories, % YoY



Source: Jefferies Proprietary Survey

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(Article 3(1)e and Article 7 of MAR)

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